

have gained, they may feel threatened by options that entail additional risk. For example, an investor who has just suffered a net loss is likely to seek risk with his or her investments. Someone who has gained, however, is more likely to opt for a sure thing.

In the following we review four investor mistakes caused by framing bias.

RESEARCH REVIEW

In their 1984 paper entitled “Choices, Values, and Frames,” Daniel Kahneman and Amos Tversky¹ studied framing bias in a sample population of physicians, posing the following question to each participating doctor:

Imagine that the U.S. is preparing for the outbreak of an unusual Asian disease, which is expected to kill 600 people. Two alternative programs to combat the disease have been proposed. Assume that the exact scientific estimates of the consequences of the programs are as follows: If program A is adopted, 200 people will be saved. If program B is adopted, there is a one-third probability that 600 people will be saved and a two-thirds probability that no people will be saved. Which of the two programs would you favor?

FRAMING BIAS: BEHAVIORS THAT CAN CAUSE INVESTMENT MISTAKES

1. Depending on how questions are asked, framing bias can cause investors to communicate responses to questions about risk tolerance that are either unduly conservative or unduly aggressive. For example, when questions are worded in the “gain” frame, a risk-averse response is more likely. When questions are worded in the “loss” frame, risk-seeking behavior is the likely response.
2. The optimistic or pessimistic manner in which an investment or asset allocation recommendation is framed can affect people’s willingness or lack of willingness to invest. Optimistically worded questions are more likely to garner affirmative responses, and optimistically worded answer choices are more likely to be selected than pessimistically phrased alternatives. Framing contexts are often arbitrary and uncorrelated and therefore shouldn’t impact investors’ judgments ... but, they do.